The bullish AB=CD pattern is a type of measured move down except that the pattern's turns are determined by Fibonacci ratios. I measured performance of Fibonacci-based patterns differently than I do other chart pattern types. That's because we're looking for a reversal at the end of the pattern and not an up or down breakout. Therefore, the layout of this chapter is different from most other chapters in this book.

The theory behind this pattern is that if you know the first three turns (ABC), you can calculate the fourth turn (D). The method works nearly all of the time, meaning price *does* fall to the calculated point D. However, when price reaches D, it fails to reverse there. Only about a third (33% in bear markets and 38% in bull markets) will see price turn upward when it's supposed to.

Of course, your software for identifying the bullish AB=CD may be different than the model I built, so your performance may vary. Add trading rules to improve performance and you may find this pattern a useful tool. Let's see what this pattern looks like.

Tour

Figure 3.1 shows an example of a bullish AB=CD. Price begins the pattern at peak A after an exhaustion gap warns of the coming retrace. The pattern completes at valley D, with turn BC nestled comfortably between those two points. Notice that price turned at D and climbed from there (at least for a time). Price reversing at D and climbing is how the pattern is supposed to work.

In this example, price broke out of the pattern upward at F when it closed above the top of the pattern. Not shown, but the stock continued higher to rise 119% above the low at D. If only all chart patterns worked like that!

This chart is also a good example of the CD leg meeting the projection of AB. In other words, the height of AB subtracted from C gives turn D. Thus, if you know turns ABC, you can estimate where D will appear. However, you can also use that price information to predict where D will be using Fibonacci numbers (because turn D can be far away from the ABC turns). I'll discuss that in the next section.